
International Auditing and Assurance Standards Board®

[Draft] Work Plan for 2020–2021



Introduction

This **Work Plan** for the period 2020–2021 (the ‘Work Plan’) sets out our specific projects and activities that we have identified to help us deliver on our strategic objectives (and strategic actions therein) as set out in our **Strategy for 2020–2023** [\[link\]](#) (the ‘Strategy’). Our Work Plan has been developed in the context of the **Framework for Activities** (the ‘Framework’). The Framework helps us select, prioritize and scope our work by setting out processes, procedures, and criteria for making decisions about how best to deploy our resources, which are inherently limited.

Our Work Plan sets out our best view of how we can most effectively and efficiently deliver our International Standards, and other activities, to respond to our stakeholder needs and identified challenges and issues. Our commitment to projects and activities as set out in the Work Plan, takes into account available resources (e.g., people, plenary time and operating budget), and the needs of different stakeholders. While recognizing calls from stakeholders for our efforts on a variety of important topics, we have determined and prioritized our planned actions to deploy our resources in a manner that reflects activities that are influenced by the identified strategic drivers in our Strategy.

The Work Plan also illustrates the shift in focus to enable more agility in our responsiveness.



Our Detailed Work Plan for 2020–2021

Our detailed Work Plan is presented below and is our best estimate, at the time of publication, for how we will progress the various projects and workstreams. This Work Plan may change given the nature of the issues, the complexities of the projects, stakeholders feedback, and the need to be flexible in responding to environmental changes.

Broadly, our time and effort in 2020 to 2021 will focus on:

- Initially, completing projects already underway.
- Activities to support the effective implementation of the recently issued, or completed, International Standards on Auditing (ISAs) and quality management standards.
- Information gathering and research activities to inform the nature and scope of new projects.
- Monitoring the environment and timely analysis of new and evolving issues that may affect our standards, and related activities thereafter as needed.
- Developing the Framework.
- Outreach and related activities.



How We Determine Our New Activities and Priorities

Our *new* projects and activities that will commence in 2020 and 2021, as capacity opens up on completion of projects underway at the start of 2020, will:

- ❖ Originate from the activities within the Information Gathering and Research workstream; and
- ❖ Be determined taking into account:
 - o The global need for action;
 - o Whether it is in the public interest to pursue the action.
 - o Our capacity for new projects in relation to available resources.
 - o The nature of the project or activity.
 - o Whether a global response will be timely.
 - o If standard-setting, the ability of practitioners to be able to adopt the standard in a high-quality manner.

Pool of Possible Topics for Future Consideration

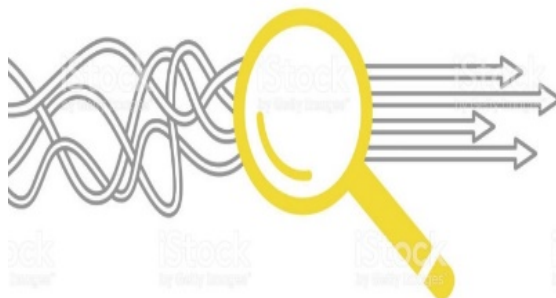
Information gathering and research is one of the components of the Framework, the outputs of which informs the Board's decisions about its future projects and workstreams. Those decisions determine the nature and scope of new projects or workstreams in terms of one or a combination of the other components of the Framework (i.e., Revising and Developing Standards; Effectively Implementing New and Revised Standards; Developing Non-Authoritative Guidance; or Maintenance of Standards).

Information gathering and research activities, in collaboration with others (such as National Standard Setters (NSS), academics or others), where appropriate, is expected to help inform our future work through various streams:

- **Category A**—Activities to explore new topics that fall into our remit and require further Board consideration. Actions for gathering information may include for example, post-implementation reviews, scanning the environment, interacting with stakeholders and other surveys. Once a possible new topic is identified and its further consideration is indicated, it will move to Category B for more focused action or may be subject to another action that may be appropriate to the circumstances.
- **Category B**—More focused information gathering and research activities to understand and evidence identified issues and challenges that fall into our remit, and that are globally relevant. Such topics may move to Category C, or the Board may determine that no further action is necessary. Appendix 2 sets out a list of the known topics that form the basis of our work within Category B during this Work Plan period.
- **Category C**—Activities focusing on analyzing identified topics to determine recommendations for Board action (including the scoping of such activities and the development of project proposals as needed). The outcomes from these activities may include new projects or workstreams on our work plan to address identified issues and challenges through revising and developing standards, narrow scope amendments, developing non-authoritative guidance or other activities as needed. Topics within this category would likely utilize Board plenary time for discussion of matters being considered.

Topics move between categories as relevant criteria (as set out in the Framework) for further action are met. The relevant criteria guide our assessment about the category to which a topic is allocated (i.e., assigning the activity level related to the topic), and is based on which projects or activities would provide the greatest public interest benefit to our stakeholders. It is not intended that topics in our information gathering and research categories necessarily travel in a linear manner through these categories, and will be dependent on the relevant criteria for each category, as well as the outcomes of the information gathering activities. In reflecting on the public interest benefits, we independently consider:

- The extent to which the action will further enhance the quality and value of audit, assurance and related services engagements globally;
- The appropriateness of the action to contribute overall to standards that are relevant, robust and operable in accordance with the needs of our stakeholders; and
- The extent to which the action serves to facilitate enhanced public confidence in financial and other external reporting.



OUR DETAILED WORK PLAN Project	2020				2021			
	March	June	Sept	Dec	March	June	Sept	Dec
I. Increasing the Emphasis on Emerging Issues to Ensure that Our International Standards Provide a Foundation for High-Quality Audit, Assurance and Related Services Engagements								
Revising and Developing Standards								
ISQM 1 ¹	X	F						
ISQM 2 ²	X	F						
ISA 220 (Revised) ³	X	F						
Conforming Amendments to Other Standards Arising from Quality Management Standards			X	E		X	F	
ISA 600 (Revised) ⁴	E		X	X	X	F		
Standard-Setting Project 1 Placeholder (Note 1)								
Standard-Setting Project 2 Placeholder (Note 1)								
Development of Non-Authoritative Guidance and Other Activities Related to Standard-Setting								
Extended External Reporting (EER) (non-authoritative guidance)		X	X	F				
Technology (ongoing) (Note 2)	X	X	X	X		X		X
Professional Skepticism (ongoing) (Note 2)			X		X		X	
Work Plan 2022–2023					X		X	F
First-time Implementation Activities (Note 3)								
ISA 540 (Revised) ⁵								
ISA 315 (Revised 2019) ⁶			X					
Revised Quality Management Standards (ISQM 1, ISQM 2, ISA 220 (Revised))					X			
ISA 600 (Revised)								
Maintenance of Standards								
New Project(s) Placeholder (Note 1)						X	X	X

¹ Proposed International Standard on Quality Management (ISQM) 1 (Previously International Standard on Quality Control (ISQC) 1), *Quality Management for Firms that Perform Audits or Reviews of Financial Statements, or Other Assurance or Related Services Engagements*

² Proposed ISQM 2, *Engagement Quality Reviews*

³ Proposed ISA 220 (Revised), *Quality Management for an Audit of Financial Statements*

⁴ Proposed ISA 600 (Revised), *Special Considerations—Audits of Group Financial Statements (Including the Work of Component Auditors)*

⁵ ISA 540 (Revised), *Auditing Accounting Estimates and Related Disclosures*

⁶ ISA 315 (Revised 2019), *Identifying and Assessing the Risks of Material Misstatement*

OUR DETAILED WORK PLAN Project	2020				2021			
	March	June	Sept	Dec	March	June	Sept	Dec
Information Gathering and Research								
Matters Related to Audits of Less Complex Entities (Category C) (Note 4)	X		X	X	X			
Audit Evidence (Category C) (Note 4)	X	X	P					
Fraud (Category A / B)				X				
Going Concern (Category A / B)				X				
Other (Category A or B or C) (Note 5)						X		X
Auditor Reporting Post-Implementation Review (Note 5)				X		X		
ISA 540 (Revised) Post-Implementation Review (Note 5)							X	
II. Innovate Our Ways of Working to Strengthen and Broaden Our Agility, Capabilities and Capacity								
Developing the Framework for Activities	X	X	X	X				
Strengthening collaboration efforts with NSS and the International Federation of Accountants (IFAC)								
III. Maintain and Deepen Our Relationships with Our Stakeholders								
Outreach program (see Appendix 3)								
Coordination with the International Ethics Board for Accountants (IESBA)			X				X	
Liaison activities with the International Accounting Standards Board (IASB)			X			X		

Key to Our Detailed Work Plan:

Appendix 1 sets out a description of the projects and workstreams included in the table above, which also categorizes the projects and workstreams by strategic action.

Cells with a(n):

- o Green highlight indicates expected Working Group, Task Force or Staff activity. The **darker** the shade of color, the more time and activity is needed for that particular workstream.
- o 'X' indicates that IAASB plenary meeting time is scheduled.
- o 'P' indicates the **targeted** approval of project proposal.
- o 'E' indicates the **targeted** approval of an Exposure Draft.
- o 'F' indicates the **targeted** final approval by the IAASB of a new or revised standard

Notes:

- 1 = These represent placeholder for new project(s), which may be standard-setting or another activity. Due to the uncertain nature of future workstreams, these may be moved to another category once the project has been scoped in terms of the new Framework. In some cases, these possible new projects do not have Board time allocated due to the uncertain nature of what future work we will undertake. The number of projects we will undertake may also vary; it may be one significant standard setting project or more than one smaller project. In addition, the new project(s) may not necessarily be a new standard-setting project in which case this allocation would change to another category, such as maintenance of standards. Placeholders have been added to this Work Plan, however, the number and category may change as explained.
- 2 = Ongoing initiatives, including dedicated working groups to undertake ongoing information gathering and research activities, as well as working to a plan for the development of guidance and other materials as needed, and inputting to our other projects as relevant.
- 3 = Although limited Board plenary time, in the six to nine months following the approval of a new or revised standard there will be a focus on implementation activities. These activities may include the development of guides (e.g., a 'first-time implementation guide' explaining the substantial changes made), flow charts, frequently asked question documents, video panel discussions or focused presentations relating to the changes. These activities are in addition to the preparation of a Basis for Conclusions and the 'At a Glance' document that we have historically published for a new or revised standard.
- 4 = The topics under consideration within the information gathering and research component of the Framework will be monitored by a dedicated resource within the IAASB, including which topics become actively pursued. The outcomes of information-gathering and research activities may result in standard-setting or other projects or workstreams, such as maintenance of standard or the development of non-authoritative guidance. The projection of Board plenary discussions and timing of consultations and finalization will be presented in this Work Plan at the time when the project proposal is approved.
- 5 = The findings from the Post Implementation Reviews may result in further information gathering and research activities, or a project or other workstream activity for the IAASB depending on the findings from the review.

Allocation of Resources

Our Work Plan is ambitious in 2020 and 2021, and will draw on our full capacity to deliver high-quality standards, and undertake our activities, in a timely manner. The Work Plan as set out above is expected to be supported by a direct operating budget of approximately \$12.5 million over the period (excluding operational support received from IFAC).

The work that can be undertaken is also limited to the volunteer hours, consultant hours and staff capacity available to undertake activities that we have committed to. As projects and initiatives are completed, and resources become available, including budget that has not yet been allocated to work committed to, we will allocate these resources on the basis of information about new initiatives or projects that will need to be started (from the Information Gathering and Research component of the Framework) and past experience of the capacity needed to deliver our projects and initiatives.

Appendix 1

Description of Projects and Initiatives in the Work Plan 2020–2021

More information about our projects can be found on the project page: <http://www.iaasb.org/consultations-projects>. A direct link to the project page is included in the project title.

The last column illustrates the component within the Framework that the planned action is related to. For new and ongoing activities, and where feasible, these have been grouped to reflect the strategic drivers being addressed by the relevant planned action.

I. Increase the Emphasis on Emerging Issues		Framework for Activities Component
Complete Our Major Audit Quality Enhancements and Other Work Underway and Support and Facilitate Effective Implementation		
Revising and Developing Standards and Non-Authoritative Guidance		
<u>ISQM 1 – Quality Management at Firm Level</u>	The purpose of the revisions to ISQC 1 ⁷ is to improve firms' management of quality for all engagements performed under the IAASB's International Standards. This will be achieved through the introduction of a risk-based approach to the management of quality and strengthening various aspects of the standard, including governance and leadership, resources, information and communication, monitoring and remediation and networks.	Revising and Developing Standards
<u>ISQM 2 – Engagement Quality Reviews</u>	ISQM 2 aims to strengthen and clarify various aspects of engagement quality reviews, including the engagements to be subject to such reviews, the eligibility criteria for engagement quality reviewers and the performance and documentation of the reviews.	Revising and Developing Standards
<u>ISA 220⁸ – Quality Management at Engagement Level</u>	The purpose of the revisions to ISA 220 is to strengthen aspects of quality management for individual engagements by focusing on the identification, assessment and response to quality risks in a broad range of engagement circumstances.	Revising and Developing Standards
<u>ISA 600⁹ – Group Audits</u>	This project revises ISA 600 to strengthen the auditor's approach to a group audit and clarify the role of ISA 600	Revising and Developing Standards

⁷ ISQC 1, *Quality Control for Firms that Perform Audits and Reviews of Financial Statements and Other Assurance and Related Services Engagements*

⁸ ISA 600, *Special Considerations—Audits of Group Financial Statements (Including the Work of Component Auditors)*

⁹ ISA 220, *Quality Control for an Audit of Financial Statements*

	in relation to other ISAs, such as ISA 220 (Revised), ISA 315 (Revised 2019) and ISA 330. ¹⁰	
Changing Reporting Needs of Stakeholders		
<u>Extended External Reporting</u>	The purpose of this project is to develop non-authoritative guidance in applying ISAE 3000 (Revised) ¹¹ to EER engagements and provides thought leadership on assurance issues in relation to EER. This includes determining the scope of an EER assurance engagement, exercising professional skepticism and professional judgment, obtaining the competence necessary to perform the engagement, and communicating effectively in the assurance report.	Developing Non-Authoritative Guidance
Implementation Activities		
ISA 315 (Revised 2019)	Activities to support awareness, understanding and effective implementation of ISA 315 (Revised 2019) as needed.	Developing Resources for the Effective Implementation of New and Revised Standards
Quality Management Standards	Activities to support awareness, understanding and the effective implementation of the quality management standards as appropriate	Developing Resources for the Effective Implementation of New and Revised Standards
ISA 600 (Revised)	Activities to support awareness, understanding and effective implementation of ISA 600 (Revised) as needed.	Developing Resources for the Effective Implementation of New and Revised Standards

¹⁰ ISA 330, *The Auditor's Responses to Assessed Risks*

¹¹ International Standards on Assurance Engagements (ISAE) 3000 (Revised), *Assurance Engagements Other than Audits or Reviews of Historical Financial Information*

Information Gathering and Research		
Addressing the Environment for Small- and Medium-Sized Entities and Developing Ways to Address Increasing Complexity		
<u>Matters Related to Audits of Less Complex Entities (Category C)</u>	In 2020 and 2021, we will analyze the responses from the Discussion Paper, <i>Audits of Less Complex Entities</i> , determine a way forward, and commence activities related to the determined actions.	Initially Information Gathering and Research Activities
Developing Ways to Address Increasing Complexity and Advancement in, and Use of, Technology		
<u>Audit Evidence (Category C)</u>	The initial objective of this workstream is to perform further information gathering and research activities to identify and prioritize audit-evidence-related issues when applying the ISAs. This information will be used to develop informed recommendations for possible further Board action to address such issues.	Initially Information Gathering and Research Activities
<u>Technology</u>	The objective of this workstream is to identify matters for which there is an opportunity for a more immediate response through developing and issuing guidance to address the effect of technology when applying certain aspects of the ISAs. The Technology Working Group also work with other task forces and working groups to input on relevant matters relating to technology on current projects.	Information Gathering and Research Activities and Developing Non-Authoritative Guidance
Addressing Some or All Strategic Drivers		
<u>Ongoing Information Gathering and Research (Categories A or B)</u>	The objective of our research activities is to support future workstreams with activities as relevant to the topics within Categories A or B. Output from this stage informs the Board's decisions about its future work streams and activities. The strategic drivers identified and environmental development during the strategy period will influence the topics that are taken up by the IAASB.	Information Gathering and Research Activities
<u>Auditor Reporting Post-Implementation Review</u>	Monitoring global developments in auditor reporting, with a focus on identifying practical implementation and other related issues that are causing the new and revised Auditor Reporting Standards, ¹² and ISA 720	Information Gathering and Research Activities

¹² The new and revised Auditor Reporting Standards comprise ISA 700 (Revised), *Forming an Opinion and Reporting on Financial Statements*; New ISA 701, *Communicating Key Audit Matters in the Independent Auditor's Report*; ISA 705 (Revised), *Modifications to the Opinion in the Independent Auditor's Report*; ISA 706 (Revised), *Emphasis of Matter Paragraphs and Other*

	(Revised), ¹³ to not achieve their intended purpose. In addition, the post-implementation review will explore whether there are ways to improve the quality of the communication of key audit matters and other matters that could improve transparency about the audit that were not included in the new and revised Auditor Reporting Standards and ISA 720 (Revised).	
<u>ISA 540 (Revised) Post-Implementation Review</u>	The commencement of activities to monitor the implementation of ISA 540 (Revised), with a focus on identifying practical implementation and other related issues that are causing the revised standard to not achieve its intended purpose.	Information Gathering and Research Activities
<u>Professional Skepticism</u>	The objective of this workstream is to make recommendations on how to more effectively respond to issues related to professional skepticism. The Professional Skepticism Working Group also work with other task forces and working groups to input on relevant matters relating to professional skepticism on current projects.	Information Gathering and Research Activities
II. Innovate Our Ways of Working to Strengthen and Broaden Our Agility, Capabilities and Capacity		
<u>Framework for Activities</u>	Develop and implement a Framework that will include: • Undertaking more structured and robust information gathering and research activities as a foundation for future work streams, while also providing transparency about the decisions made for the work we undertake. • Revising and developing standards, and the effective implementation thereof. • Developing mechanisms for addressing issues and challenges on a more timely basis	Strengthening and Broadening Capabilities and Capacity
<u>Enhancing Collaboration with NSS and IFAC</u>	Explore new ways to expand our collaboration with national auditing standard setters and IFAC to optimize our activities, for example in relation to implementation support activities.	Strengthening and Broadening Capabilities and Capacity

Matter Paragraphs in the Independent Auditor's Report; ISA 570 (Revised), Going Concern; ISA 260 (Revised), Communication with Those Charged with Governance; and conforming amendments to other ISAs

¹³ ISA 720 (Revised), *The Auditor's Responsibilities Relating to Other Information*

III. Deepening Our Relationships with Our Stakeholders ¹⁴		
Coordination with IESBA	Coordination activities with IESBA involve proactive collaboration and transparent and timely communications between staff and members of the two Boards to determine and address matters of mutual impact.	Outreach
Liaison Activities with IASB	Continue our two-way liaison with the IASB providing input on the audibility and verifiability of new and revised International Financial Reporting Standards, thereby contributing to the quality of financial reporting.	Outreach

¹⁴ Appendix 3 sets out details about the IAASB's outreach program

Appendix 2

Possible Known Topics for Further Consideration

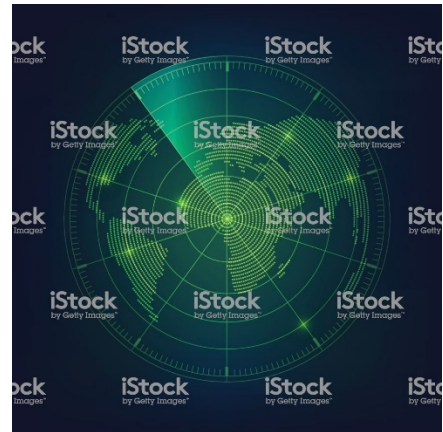
Topics within the Information Gathering and Research Component of the Framework contemplate the identified strategic drivers to help identify topics and issues where further action may be needed. In order to make the decisions about which topics to pursue, guidelines within the Framework help determine whether the topic should be included on our work agenda (including what the possible action may be), and its priority.

The following sets out those topics that will form the initial basis¹⁵ of Category B of the Information Gathering component of the Framework in 2020 and 2021 (areas under active review in Category C (e.g., related to the Audit Evidence or Less Complex Entities initiatives) have been presented as separate workstreams in the Work Plan as they are being actively pursued):

- Matters relating to fraud, including ISA 240, *The Auditor's Responsibilities Relating to Fraud in an Audit of Financial Statements*, in light of changing public confidence in audits, increasing complexity in the environment and advancements in, and use of, technology.
- Matters relating to responses to the identified and assessed risks of material misstatement and ISA 330, *The Auditor's Responses to Assessed Risks*,¹⁶ in light of the significant revisions that have been undertaken to ISA 315 (Revised 2019), advancement in, and use of, technology and increasing complexity within the environment.
- ISA 570 (Revised), *Going Concern*, in light of changing public confidence in audits, increasing complexity in the environment and advancements in, and use of, technology.

Category A Topics:

The list of topics in Category A (i.e., they are on our radar but we have not yet commenced actively undertaking further information gathering and research activities) are numerous (and have therefore not been listed). The topics within this category have been identified through post-implementation reviews, outreach, interactions with our stakeholders, scanning the environment for changes and through more formal consultations (including those undertaken in developing this strategy). We will continue to monitor, on a regular basis, all of the topics within this category for changes in status where more active information-gathering and research may be needed.



¹⁵ The topics within Category B may change during the Work Plan period as those topics that form Category A are further considered or a need for more active information gathering is identified.

¹⁶ A project to revise ISA 330 was strongly encouraged in the responses to the exposure draft of proposed ISA 315 (Revised 2019).

Appendix 3

Our Outreach Program



Annually, IAASB representatives undertake outreach with our key stakeholders, to maintain our stakeholder relationships, obtain input and monitor developments within the environment. IAASB members and Staff also undertake a considered and active engagement strategy, including personal visits and meetings, participation in conferences, discussion groups and forums, as well as webinars and other methods of communication to inform and engage on technical topics.¹⁷ In 2020 and 2021 we will also be exploring new collaboration tools to reduce barriers to engagement with all our stakeholders.

Summary of Annual Stakeholder Engagement

It is intended that the following minimum stakeholder engagement will be undertaken by IAASB members, technical advisors and staff. In addition to the outreach listed below, we will focus on enhancing its outreach with certain stakeholder groups, such as investors and those charged with governance, that have had more limited outreach in the past strategy period.

Stakeholder	Description of Interactions
Consultative Advisory Group (CAG)	• Bi-annual 2-day meetings with CAG Representatives • Teleconferences with CAG Representatives as necessary
Other International Standard-Setting Boards	• Annual joint session with IESBA and other collaboration activities as described in the Strategy and Work Plan • Annual IASB Update from a Representative and annual meeting with IASB leadership • Regular interactions between chairs of other standard-setting setting boards to discuss areas of joint interest
Meetings with Regulators and Oversight Bodies	• Annual or semi-annual meetings with representatives from, or presentations to regular meetings of: - o The International Forum of Independent Audit Regulators, and its Standards Coordination Working Group

¹⁷ In addition to the outreach activities included in this section, we inform our stakeholders about our activities through press releases, newsletters, reports and podcasts.

Stakeholder	Description of Interactions
	- o International Organization of Securities Commissions, and its Committee on Issuer Accounting, Audit and Disclosure - o International Association of Insurance Supervisors - o Basel Committee on Banking Supervision's Audit Subgroup • Meetings with regulators and oversight bodies on "country visits" (see below)
NSS	• Annual two-day annual standard setters meeting with representatives from 18 standard setters globally • Meeting with representatives from standard-setters in "country visits" (see below)
IFAC Member Bodies and Accountancy Organizations	• Meetings with representatives from member bodies on "country visits" (see below) • Presentations about our activities at member body conferences and forums • Participation in panels at member body conferences and forums
Accounting Firms	• Presentations at, and participation in, bi-annual meetings of the Forum of Firms (representing the 31 largest networks) • Meetings with firm leadership • Presentations at global and regional conferences of firms
Public Sector	• Attendance at annual International Organization of Supreme Audit Institutions Financial Audit and Accounting Subcommittee meetings
Academic Community	• Presentations about our activities at various academic related conferences
Country Visits	• Meetings with relevant stakeholders including regulators and audit oversight bodies, NSS, member bodies, investor groups and others on a rolling basis globally